

DALAL & BROACHA
STOCK BROKING PVT. LTD.

Internal Surveillance Policy

Version 1.2

A. Background:

This is in partial modification of Exchange notice nos. 20130307-21 dated March 07, 2013 and 20190205-54 dated February 05, 2019, wherein the trading members were advised about surveillance obligations of trading members to facilitate effective surveillance at the members end, inter-alia, covering processing of transactional alerts provided by the Exchange (list attached as Annexure I) as well as own alerts generated by the trading members at their end based on their

Surveillance policy and suitable actions thereof. As per SEBI Master circular SEBI/HO/ISD/ISD/CIR/P/2021/22 dated March 01, 2021 subject to Master Circular on Surveillance of Securities Market and Exchanges' communique subject to Member Surveillance Dashboard. In order to facilitate effective surveillance mechanisms at the Member level, the Exchange is pleased to introduce Member Surveillance Dashboard. It aims to provide information about alerts on orders / trades which are abnormal in nature. D&B are required to submit their response on each of these alerts.

D&B has implemented state of the art specialized software for generating internal surveillance alerts to facilitate effective surveillance at our end, inter - alia, covering processing of transactional alerts provided by the Exchange as well as own alerts generated by D&B.

We along with our Employees / Branch-Offices /Authorized Persons are the first touch point in the securities market for investors and take utmost measures to ensure that neither us nor our client (s) are misusing the trading system by indulging in manipulation or any other illegal activities which can cause risk to the integrity of the market and distorts the equilibrium of the market.

B. Objectives of Surveillance policy:

This surveillance policy intended for use by company and its Branches / Business Associates for generating and taking suitable actions on internal and external (exchange & depository generated) alerts. Its objective is to;

- Generate alerts with threshold limits / parameters set
- Suspicious transactions / Manipulative activity identification and reporting.
- Timely disposition of alerts and if there is any delay, recording the reason of the same
- Record Maintenance
- Reporting to exchanges & depositories

C. Role of Compliance Officer, Designated Directors and Internal Auditors:

a. Surveillance alerts are generated with the help of software & excel formulas by the team member designated for the same who in turn escalates it to Compliance Officer for supervision and monitoring & also to designated director / Principal Officer for final action and reporting any suspicious transactions to FIU.

b. Designated Director/ Principal Officer will be responsible for all surveillance activities carried out i.e. open/ in process / disposed, including exceptions found noticed during the dispositions of alerts.

c. Internal auditor will review surveillance policy on periodic basis and implementation, effectiveness and review of alerts generated during the audit period.

D. Surveillance framework:

It is mandatory under the exchange/regulatory directives to have in place appropriate Surveillance Policies and Systems to detect, monitor and analyze transactions. For the above we have to co-relate the transaction data with their clients' information/data and. Detect suspicious/manipulative transactions is an ongoing continuous process with analysis of trades and transactions and carrying out Client Due Diligence (CDD) on a continuous basis, the framework process are as below :-

1. Generating of alerts:

a) Exchange Alerts :-

As per the NSE Circular no. 831/2013 dated March 7, 2013 and BSE Circular No. 20130307-21 dated March 7, 2013, the surveillance alerts are downloaded from the Exchange websites
(BSE: <https://eboss.bseindia.com/stocks/jsp/SURVEILLANCE/>
NSE: <https://connect2nse.com/MemberPortal/>)

Similarly CDSL also shares the alerts generated at Depository's end and DP division takes necessary due diligence and action on the same.

b) Internal alerts :-

Based on the alerts generated by the software & excel sheet, necessary documents and explanations from the branches, dealers and clients are called upon for further analysis and actions are concluded against each alert

Overview of involvement of different departments to facilitate effective surveillance mechanism is depicted below:

2. Surveillance Department's Activities :

A dedicated member of surveillance team will generate Surveillance reports on the basis of management approved & reviewed pre-defined parameters. Compliance department will download alerts from the exchange's website, portals and forward the same to RMS Department/KYC department or branches for further analysis. Remarks by RMS department is analyzed and reviewed by compliance department so as to look for any irregularities and violation by the clients. Principal Officer also reviews the same for deciding any suspicious activity thereon and will report STR to FIU.

3. RMS Department's Activities:

Regular monitoring of transactions is required to ensure effectiveness of the surveillance procedure. Special attention require to all complex, unusually large transactions / patterns which appear to have no economic rational. Internal threshold limits to specify for each class of client accounts and pay special attention to the transaction which exceeds these limits. Since RMS department has live monitoring of trading activities; an employee designated in the RMS Team will check and do due diligence of the alerts escalated.

The background including all documents, office records/ memorandum and clarifications pertaining to such transactions and their purpose to be examined carefully and findings thereof to be recorded. Such findings, records and related documents to be made available to auditors and also to SEBI/Stock Exchanges/FIU-IND/Other relevant authorities, during audit, inspection or as and when required.

4. Account Opening Team's Activities:

The Account Opening Team is responsible to carry out the due diligence not only while opening new account but also on a continuous basis for all the clients. They also have to ensure that all the mandatory and other important KYC parameters are updated periodically as mandated by regulators and latest information of the client is updated in UCC database. They also have to ensure that client's KYC are updated on CKYC & KRA portals within the timelines.

5. Analyzing of Alerts:

In order to analyze the trading activity of the Client(s) / Group of Client(s) or scrips identified based on the pre-decided parameters and generated by software; the surveillance team member will call for the records, seek explanation from such identified Client(s) / Group of Client(s) in order and if required will seek the supporting documentary evidences and declarations to arrive at a conclusion on the identified unusual transaction.

The observations will then be shared with the Compliance Officer & Principal officer for further actions, if required.

6. Action:

RMS Department along with the Compliance Team will conclude the action to be taken, if required, against the clients. Different Actions are taken depending on the circumstances such as getting undertaking from the client showing his bonafide intention, blocking the client for a particular scrip (Buy/Sell side), reporting to the exchange or other regulatory body etc.

A quarterly MIS of the same is maintained depicting the number of alerts pending at the beginning of the quarter, generated during the quarter, disposed off during the quarter and pending at the end of the quarter. Reasons for pendency are discussed and appropriate action is taken as per the instruction of Director/Principal officer. The same is also placed before the Board for their review & record.

7. Reporting of Alerts to Exchanges:

As per the circulars issued by regulators towards Surveillance Obligations for Trading Members & Depository participants, D&B will provide duly approved status of the alerts on a quarterly basis in the format as prescribed by regulators (Exchanges & DP) on exchange/DP portal within 15 days from end of the quarter. In case of no alerts, 'NIL' report will be submitted within 15 days from end of the quarter.

8. Reporting of Alerts to Depository Participants:

As per circulars of Depository, DP's Surveillance Obligations covers the following points;

- Participants are required to maintain register (electronic/physical) for recording of all alerts generated.
- While reviewing alerts, Participant shall obtain transaction rationale, verify demat account statement and also obtain supporting documents as required from the client.
- After verifying the documentary evidences, Participants shall record its observations for such identified transactions of its Client.

- Disposal of alerts within 30 days from the date of alerts generated at Participants end and alerts provided by CDSL.
- Reporting to CDSL and other authorities as applicable in case of any abnormal activity.
- Documentation of reasons for delay, if any, in disposal of alerts.
- Framework of appropriate actions which is cohesive with obligations under Prevention of Money Laundering Act (PMLA).
- The above details shall be uploaded by the Participants on CDSL Portal.
- Record maintenance for the period as stipulated under applicable statutes.

E. Review and Approval of Policy:

This policy will be reviewed as and when there are any changes introduced by any statutory authority or once every year as per the amendments. It shall be reviewed by compliance officer in consultation with designated director/ Principal Officer and approved by Board at the meeting first held after such changes are introduced and the same is communicated to all departmental heads and associate persons.

All concerned employees shall ensure compliance with this policy. It shall be the duty of every concerned Employee/ Business Associate of the Company to cooperate with and provide timely disclosure and information to any inspecting authority (either internal or external).

For Dalal & Broacha Stock-Broking Pvt. Ltd.

N. Dalal
Director / Authorised Signatory

For Dalal & Broacha Stock-Broking Pvt. Ltd.

[Signature]
Director / Authorised Signatory



ANNEXURE I

• Part A - Exchange Alerts:

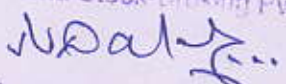
1. Client / group of clients, as identified by the trading member, accounting for a significant percentage of the total trading activity in a scrip / contract as compared to the market.
2. Client / group of clients with new account or clients dealing after a significant time gap, as identified by the trading member, accounting for significant value / percentage of total trading activity in a scrip / contract as compared to the market.
3. Client / group of clients dealing frequently in small quantities / minimum market lot in a scrip / contract.
4. Disproportionate trading activity vs reported income / Net worth.
5. Frequent changes in KYC submitted by clients.
6. Based on an announcement by a listed company, identify client / group of clients, having possible direct / indirect connection with a listed company, who have undertaken any suspicious trading activity prior to price sensitive announcement by said listed company.
7. Client / group of clients having significant selling concentration, in the scrips, forming part of 'For Information list' or 'Current Watch list'.
8. Consistency in profit / loss at client / group of clients' levels, rationale for such trading activities
9. Significant trading activity in scrips by client who has pledged the shares of same scrip.
10. In case of concerns of trading activity of a client / group of clients in a scrip, monitoring whether the orders are being placed by respective clients or their authorized representatives and monitoring client's address as per KYC vis-a-vis the dealing office address.

• Part B - DP Alerts:

The indicative themes:

1. Alert for multiple demat accounts opened with same demographic details: Alert for accounts opened with same PAN / mobile number / email id/ bank account no. / address considering the existing demat accounts held with the DP.
2. Alert for communication (emails/letter) sent on registered Email id/address of clients are getting bounced.
3. Frequent changes in details of demat account such as, address, email id, mobile number, Authorized Signatory, POA holder etc.
4. Frequent Off-Market transfers by a client in a specified period
5. Off-market transfers not commensurate with the income/Networth of the client.
6. Pledge transactions not commensurate with the income/Networth of the client.
7. Off-market transfers (High Value) immediately after modification of details in demat account
8. Review of reasons of off-market transfers provided by client for off-market transfers vis à-vis profile of the client e.g. transfers with reason code Gifts with consideration, frequent transfers with reason code Gifts/Donation to unrelated parties, frequent transfers with reason code off-market sales
9. Alert for newly opened accounts wherein sudden Increase in transactions activities in short span of time and suddenly holding in demat account becomes zero or account becomes dormant after some time.
10. Any other alerts and mechanism in order to prevent and detect any type of market manipulation activity carried out by their clients.

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